

The Court believes this matter has resolved. The Court continues this hearing to September 30 for and Order to Show Cause Why the Case Should Not Be Dismissed. Of course, the OSC will be mooted by the filing of a dismissal.

### Law & Motion

**3. 9:00 AM CASE NUMBER: C22-01607**  
**CASE NAME: SANDRA GAVAN VS. CRYSTYL RANCH HOMEOWNERS ASSOCIATION**  
**HEARING ON SUMMARY MOTION**  
**FILED BY: CRYSTYL RANCH HOMEOWNERS ASSOCIATION**  
**\*TENTATIVE RULING:\***

Defendants Crystyl Ranch Homeowners Association (“HOA”), Omni Community Management, LLC (“Omni”), John Bolin (“Bolin”), and Daniel Mahoney (“Mahoney” together with HOA, Omni, and Bolin, “Defendants”) bring the instant motion for summary judgment, or in the alternative summary adjudication (“MSJ”) against the complaint of plaintiff Sandra Gavan (“Plaintiff”).

For the reasons discussed below, the Court **GRANTS** Defendants’ motion for summary judgment as to Omni Community Management LLC and **DENIES** Defendants’ motion for summary judgment with respect to Crystyl Ranch Homeowners Association, John Bolin, and Daniel Mahoney.

#### **Legal Standard for Motion for Summary Judgment**

Code of Civil Procedure (“CCP”) § 437c, subds. (o)(1) and (p)(2) provide the relevant legal standard for deciding Defendant’s Motion. Section 437c(o)(1) provides, in relevant part:

A cause of action has no merit if one or more of the elements of the cause of action cannot be separately established, even if that element is separately pleaded.

Section 437c(p)(2) provides, in relevant part:

A defendant or cross-defendant has met his or her burden of showing that a cause of action has no merit if that party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to that cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the mere allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to that cause of action or a defense thereto.

The party moving for summary judgment has the burden of persuasion to show there is no triable issue of material fact and thus it is entitled to judgment as a matter of law. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) Only if the moving party successfully meets this burden does the burden shift to the opposing party to make its own prima facie showing of the existence of a triable issue of material fact. (*Ibid.*; see also *Chern v. Bank of America* (1976) 15 Cal.3d 866, 873.) “All

doubts as to whether there are any triable issues of fact are to be resolved in favor of the party opposing summary judgment.” (*Ingham v. Luxor Cab Co.* (2001) 93 Cal.App.4th 1045, 1049.) The scope of the defendant’s initial burden is defined by the pleadings. (See *580 Folsom Assocs. v. Prometheus Dev. Co.* (1990) 223 Cal.App.3d 1, 18.)

### **Background**

The complaint “(Complaint”) in this matter was filed by Plaintiff on August 5, 2022, and it asserts five counts of breach of fiduciary duty and a request for attorney fees and costs against Defendants on the basis of alleged: (1) failure to act in good faith; (2) arbitrary and capricious acts; (3) unreasonable acts; (4) selective enforcement; and (5) disparate and inequitable treatment. (Complaint, pp. 1-8.)

### **Undisputed Material Facts**

This MSJ relies on a total of 31 undisputed material facts (“UMF”). (Separate Statement ISO MSJ, pp. 1-18.) UMF Nos. 1-25 are exactly the same and are repeated for both **issue no. 1** (Plaintiff’s cause of action for breach of fiduciary duty against the association has no merit because Plaintiff’s requests in her application did not comply with the CC&Rs) and **issue no. 2** (Plaintiff’s cause of action for breach of fiduciary duty against the association has no merit because judicial deference applies). (Separate Statement ISO MSJ, pp. 1-18.) **Issue no. 3** (Plaintiff’s cause of action for breach of fiduciary duty against Daniel Mahoney and John Bolin has no merit) relies on a select portion of UMF Nos. 1-25, UMF Nos. 19 -25. (Separate Statement ISO MSJ, pp. 16-17.) **Issue No. 4** (Plaintiff’s cause of action for breach of fiduciary duty against Omni Community Management, LLC has no merit) relies on UMF Nos. 26-31. (Separate Statement ISO MSJ, pp. 17-18.) The only UMF Nos. that Plaintiff fully disputes are UMF Nos. 21, 24, and 25, with partial disputes as to UMF Nos. 2, 14, 15, 16, and 20. (Separate Statement ISO Opposition, pp. 1-147.)

As per a selection of the fully undisputed UMFs, “[o]n November 8, 1996, the Declaration of Covenants, Conditions, and Restrictions of Crystyl Ranch (‘CC&Rs’) were recorded.” (UMF No. 1.) “The first Architectural Control Committee (‘ACC’) was created on February 5, 2002” and it “is a committee organized in accordance with Section 4.10.3 of the CC&Rs, and has primary jurisdiction to review and approve any construction, painting, alteration or change of any ‘Improvement’ on the ‘Project’ which requires prior approval of the ACC.” (*Id.*, Nos. 3-4.)

“Pursuant to section 4.10.3, subdivisions (c) and (e) of the CC&Rs, the ACC has adopted ‘Landscape Guidelines.’ ” (UMF No. 5.) “Landscape Guideline No. 2 requires that ‘[a]ll fencing and walls shall be subject to review and approval by the committee. Open wire fencing may not be modified unless approve[d] by the ACC and the [C]ity [of] [C]oncord (Adopted from the CC&Rs, section 4.10.3.f.(v)).’ ” (*Id.*, No. 6.) “Section 4.10.3, subdivision (f)(vi) of the CC&Rs states: ‘[a]ll fencing and walls shall be subject to review and approval by the Committee. Open wire fencing installed by a Declarant on any portion of the Lots in the Project may not be modified.’ ” (*Id.*, No. 9.) “Section 4.10.5 of the CC&Rs provides that ‘[u]pon sufficient submission of an application for Committee review, the Committee shall proceed expeditiously to review all of the documents to determine whether the proposed work is in compliance with the provisions and purposes of the Project Documents and all Guidelines of the Committee in effect at the time the documents are submitted.’ ” (*Id.*, No. 11.)

“Plaintiff moved into her home at 5308 Oakpoint Court, Concord, CA 94521 in 2015.” (UMF No. 18.)

“On May 7, 2021, Plaintiff submitted two applications to the ACC to change her shared fence.” (*Id.*, No. 19.) “Plaintiff was sent a letter dated May 24, 2021, notifying her of the denial of her two applications to change her shared fence because pursuant to Section 4.10.3 subdivision (f)(vi) of the CC&Rs, her fences must remain the same.” (*Id.*, No. 22.) “On July 15, 2021, Plaintiff’s appeal of the ACC’s denial of her two applications was heard by the Board of Directors.” (*Id.*, No. 23.)

The disputed facts are as follows. “The ACC diligently reviewed and investigated Plaintiff’s applications, and based on the information made available to it, and in their best judgment, which they exercised in good faith, the ACC unanimously denied Plaintiff’s applications.” (UMF No. 21.) “The Board of Directors diligently reviewed Plaintiff’s appeal, and based on the information made available to it, and in its best judgment, which they exercised in good faith, the Board unanimously denied Plaintiff’s appeal.” (*Id.*, No. 24.) “On July 21, 2021, a letter was sent to Plaintiff formally denying her appeal because in the Board of Directors’ best judgment, the fences Plaintiff was requesting were not permitted by the CC&Rs and must remain the same.” (*Id.*, No. 25.)

## **Discussion**

### **Summary of Arguments**

Defendants argue that the denial of Plaintiff’s ACC applications did not breach any fiduciary duty because the requests in her application did not comply with the CC&R’s. (MPA ISO MSJ, pp. 7-9.) Defendants also argue that Plaintiff’s breach of fiduciary duty claim is barred because judicial deference applies to the ACC’s and Board’s decisions. (*Id.* at pp. 9-14.) Defendants further contend that Plaintiff’s breach of fiduciary duty claim against Mahoney and Bolin fail as a matter of law because Plaintiff has no evidence of their individual liability. (*Id.* at p. 14.) Finally, Defendants argue that Plaintiff’s claim against Omni fails as a matter of law because Omni did not owe Plaintiff a fiduciary duty and played no role in the decision to deny Plaintiff’s applications. (*Id.* at p. 15.)

In opposition, Plaintiff argues that the HOA fails to meet its burden of establishing a lack of a triable issue of material fact as to (1) whether an authorized Declarant installed the hybrid wire/wood fencing, and (2) whether the hybrid wire/wood fencing is authorized by the CC&Rs. (Opposition, pp. 7-12.) Plaintiff also argues that there is a triable issue of material fact as to whether the HOA breached its duty owed to Plaintiff by acting in an arbitrary and capricious manner. (*Id.* at pp. 12-17.) Plaintiff finally argues that judicial deference does not excuse the HOA’s failure to enforce its own CC&Rs. (*Id.* at pp. 17-18.)

On reply, Defendants argue for the first time that the HOA does not owe a fiduciary duty to Plaintiff. (Reply, pp. 1-2.) This was not argued in the moving papers with respect to the HOA and will not be considered. Defendants argue that Plaintiff failed to create any triable issues of fact because the evidence used by Plaintiff in opposition lacks authenticity and should be stricken and disregarded, in addition to being irrelevant and immaterial. (*Id.* at pp. 2-3.) Finally, Defendants argue that their MSJ should be granted because the ACC has discretion to approve all fence applications and is afforded judicial deference. (*Id.* at pp. 3-10.)

### **Analysis**

“The elements of a cause of action for breach of fiduciary duty are: (1) existence of a fiduciary duty;

(2) breach of the fiduciary duty; and (3) damage proximately caused by the breach.” (*Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086.)

*Plaintiff's Applications' Failure to Comply with the CC&Rs*

Here, Defendants do not explicitly identify which element of Plaintiff's burden they are trying to disprove or what affirmative defense they are seeking to show. However, they in part appear to focus on a failure of Plaintiff to show “breach,” as that is what their first argument is centered on. (MPA ISO MSJ, p. 7 [the “denial of Plaintiff's ACC applications **did not breach** any fiduciary duty to Plaintiff because the requests in her ACC applications did not comply with the CC&Rs.”].) This is based on Defendants' understanding of the CC&R requirements, as laid out in their denial letter to Plaintiff, which shows that they asserted that they did not believe that such a modification that Plaintiff requested was allowed by the CC&R: “Dear Homeowner . . . The architectural applications submitted and reviewed . . . have been denied by the architectural committee for the following reason: - Section 4.10.3, F, VI, of the CC&R's states the following: All fencing and walls shall be subject to review and approval by the committee. **Open wire fencing installed by a declarant on any portion of the lots in the project may not be modified.** The fences you are requesting to modify have to remain the same per the governing documents.” (Evid. ISO MSJ, Exh. 14; Steinpress Decl. ISO MSJ, ¶ 18; Wan Decl. ISO MSJ, ¶ 21 [“The ACC denied Plaintiff's two applications because section 4.10.3.f.(vi) of the CC&Rs required her fence to remain the same. This is because open wire fencing installed by a Declarant on any portion of the lots in the Project may not be modified.”]; Axon Decl. ISO MSJ, ¶ 17 [“The ACC denied Plaintiff's two applications because section 4.10.3.f.(vi) of the CC&Rs required her fence to remain the same. This is because open wire fencing installed by a Declarant on any portion of the lots in the Project may not be modified.”]; Brophy Decl. ISO MSJ, ¶ 20 [“The ACC denied Plaintiff's two applications because section 4.10.3.f.(vi) of the CC&Rs required her fence to remain the same. This is because open wire fencing installed by a Declarant on any portion of the lots in the Project may not be modified.”].)

Thus, the denial of Plaintiff's request was based on the following assumptions: (1) that the fence Plaintiff was seeking to replace was an “open wire” fence; and (2) that it was “installed by a Declarant.” First, as pointed out by Plaintiff in her response and supporting evidence to UMF Nos. 21, 24, and 25, the fencing was not “open wire,” but rather, was part wire and part wood. (Separate Statement ISO Opposition, pp. 36, 42, 48, 91, 99, 107-108, 121 132, 143.) Defendants **admit this** in their moving papers (and supporting declarations) when they argue that Plaintiff wanted to “replace the existing wood and open wire fence . . . with all board-on-board wood. . .” (MPA ISO MSJ, pp. 4-5; Steinpress Decl. ISO MSJ, ¶¶ 14-15; Wan Decl. ISO MSJ, ¶ 25; Axon Decl. ISO MSJ, ¶ 18; Brophy Decl. ISO MSJ, ¶ 21.) There is therefore a (significant) question of fact regarding whether the fence Plaintiff sought to replace was an “open wire” fence as the term is used in the CC&R's and was used to deny her applications. This calls into question UMF Nos. 21, 24, and 25.

Further, it almost goes without saying that the “open-wire” fence Plaintiff sought to replace was not “installed” by a declarant, as it appears that Paul and Michelle Stephens (the Stephenses are neighbors of Plaintiff who share the fence with Plaintiff that Plaintiff seeks to modify) had some of the fence built in 1999, with alleged *approval* of Braddock & Logan Group, L.P.: “The purpose of this letter is to obtain approval for an alteration of the existing fence across the back of our property. We would like to change the existing 70-inch high solid redwood fence to a deer fence. Our lot has a beautiful view of the hills and bay, which we would like to enjoy while we spend time in our backyard

and living area.” (Evidence ISO MSJ, Exhibit 17; Steinpress Decl. ISO MSJ, ¶ 21.) It appears another portion of the fence was built by Oliver and Mary Ann Robling (the Roblings used to live in a property that shared the fence with Plaintiff): “We would like to change the existing 70 inch high solid redwood fence to a 36 inch high redwood with the remaining 34 inches of deer wire. Last week we moved into our new home and realized that we have a potentially wonderful view of the hills and the bay.” (Evidence ISO MSJ, Exhibit 17, Steinpress Decl. ISO MSJ, ¶ 21.)

Apparently, despite the HOA knowing this information, they still felt that their hands were tied because “the ACC interprets ‘installed’ to mean ‘approved.’ ” (MPA ISO MSJ, p. 8; Wan Decl. ISO MSJ, ¶ 15; Adent Decl. ISO MSJ, ¶ 15; Axon Decl. ISO MSJ, ¶ 21; Brophy Decl. ISO MSJ, ¶ 14.) Whether this interpretation—which does not appear in the CC&Rs—is reasonable, was done in good faith, and is not arbitrary or capricious is a question of fact that is outstanding, and this is solely based on Defendants’ own submitted evidence in support of its MSJ. (Evid. ISO MSJ, Exh. 3 [“installed” is not a defined term in the CC&Rs and the CC&Rs do not appear to dictate that the word installed be interpreted this way]; Steinpress Decl. ISO MSJ, ¶ 3; Wan Decl. ISO MSJ, ¶ 3.) According to the declaration of Bob Wan, there was protest by Plaintiff’s neighbors that could have even been an unidentified reason for the denial of Plaintiff’s request to change her fence. (Wan Decl. ISO MSJ, ¶ 25 [“Plaintiff wanted to change a bottom half board-on-board wood fence, top half wire fence, which was originally approved by the Declarant in 1999, to an all board solid fence, despite both of her neighbors protesting and not wanting the change. Indeed, the Stephens had the same fence since 1999, and the Weinstens had the same fence since 2005, while Plaintiff did not even move in until 2015.”].) All of this calls into question UMF Nos. 21, 24, and 25.

Thus, based only on Defendants’ moving papers and supporting evidence, Defendants have not satisfied their burden of showing that there are no triable issues of material fact and that they are entitled to judgment as a matter of law as to the argument that they did not breach any fiduciary duty to Plaintiff because her applications did not conform to the CC&Rs.

Additionally, the approval of the fence change that was requested by the Stephens and the Roblings was apparently provided by Braddock & Logan Group, L.P. (Evidence ISO MSJ, Exh. 17; Steinpress Decl. ISO MSJ, ¶ 21.) Plaintiff provides evidence that that Braddock & Logan Group, L.P.—who appears to have been a “Declarant” at one time—had possibly signed away their rights as a declarant to Pulte Home Corporation in 1996. The fence Plaintiff wanted to replace was therefore possibly *not* installed by a declarant, and there is a question of fact as to whether the 1999 change was even *approved* by a declarant. (Evidence ISO Opposition, Exh. A [Declaration of Marshall Torre, who appears to be the exact Braddock & Logan Group, L.P. employee who signed the approval in 1999, although he declares that he has no recollection of signing the approval].)

#### *Judicial Deference to HOA Decisions*

“[T]he judicial deference rule applies to an association board’s **discretionary** decisions concerning the operation of the common interest development, e.g., the board’s maintenance and repair decisions (*Lamden*), its selection of the appropriate means to remedy a violation of the CC&Rs (*Haley*), its designation of storage space in a common area (*Harvey*), its adoption of rules relating to short-term rentals (*Watts*), or its approval or rejection of a homeowner’s improvement plan (*Dolan-King*).” (*Eith v. Ketelhut* (2018) 31 Cal.App.5th 1, 16 [emphasis added].)

Here, Defendants have not satisfied their burden of showing that there are no genuine disputes of material facts as to this issue because the evidence appears to show that the HOA did not exercise its discretion as to this decision because the HOA believed that it was required to deny Plaintiff's request. "The ACC denied Plaintiff's two applications because section 4.10.3.f.(vi) of the CC&Rs *required her fence to remain the same*. This is because open wire fencing installed by a Declarant on any portion of the lots in the Project may not be modified." (Wan Decl. ISO MSJ, ¶ 21; Axon Decl. ISO MSJ, ¶ 17; Brophy Decl. ISO MSJ, ¶ 20, emphasis added.) This was not a weighing of different considerations and a reasoned decision that should not be second guessed; this was a denial that could have been made based on a possibly mistaken view that the fence in question was an "open-wire" fence, a questionable interpretation of "installed" to mean "approved," and a belief that Braddock & Logan Group, L.P. was still a declarant in 1999.

Further, "[g]enerally, courts will uphold decisions made by the governing board of an owners association so long as they represent good faith efforts to further the purposes of the common interest development, ***are consistent with the development's governing documents***, and comply with public policy." (*Nahrstedt v. Lakeside Village Condominium Assn.* (1994) 8 Cal.4th 361, 374 [emphasis added].) Here, as discussed above, it is a question of fact as to whether the HOA's decision was consistent with the CC&Rs given the potentially mistaken view that the fence in question was an "open-wire" fence, a questionable interpretation of "installed" to mean "approved" and a belief that Braddock & Logan Group, L.P. was still a declarant in 1999.

*Josh Bolin and Daniel Mahoney*

Defendants assert that Plaintiff has failed to submit any evidence that shows Bolin or Mahoney acted outside the scope of their association duties or have any individual liability. (MPA ISO MSJ, p. 14.) Defendants also assert that both Bolin and Mahoney have passed away since his lawsuit was initiated. (*Ibid.*) Defendants submit no evidence for these specific issues and have additionally not submitted any unique UMFs on the topic of Bolin and Mahoney's lack of personal liability. The UMFs Defendants have submitted in support of the MSJ for Bolin and Mahoney are UMF Nos. 19-25. And as described above the Court has found that UMF Nos. 21, 24, and 25 have genuine disputes. (Separate Statement ISO MSJ, pp. 17-18.) Defendants have not met their initial burden with respect to these defendants.

*Omni Community Management LLC*

There are six undisputed material facts identified by Defendants as to defendant Omni (UMF Nos. 26-31.) Plaintiff has represented that all of these UMFs are "undisputed." (Separate Statement ISO Opposition, p. 147.) These facts show that Omni would gather documents from homeowners and provide them to the HOA and then transmit communications from the HOA to the homeowners and had no input or authority in determining whether an ACC application is approved or denied. (UMF Nos. 27, 28, 29, 30, 31.)

Defendants argue that Plaintiff's claim against Omni fails as a matter of law because Omni did not owe Plaintiff a fiduciary duty and played no role in the decision to deny Plaintiff's applications. (MPA ISO MSJ, p. 15.) Plaintiff did not oppose this in the opposition and only stated that Plaintiff is dismissing Omni without prejudice pending further discovery. (Opposition, p. 18.)

The Court finds that Defendants have met their burden with respect to Omni and will grant the

motion for summary judgment as to Omni.

*Defendant's Objections to Plaintiff's Evidence*

"In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion." (Code of Civ. Proc., § 437c, subd. (q).) Here, the Court finds that it need not rule on Plaintiff's objections or Defendants' objections as they are not material to the disposition of this MSJ. However, the Court overrules Defendants' objection to the declaration of Marshall Torres.

**Ruling**

The Court **GRANTS** Defendants' motion for summary judgment as to Omni Community Management LLC and **DENIES** Defendants' motion for summary judgment with respect to Crystyl Ranch Homeowners Association, Josh Bolin, and Daniel Mahoney.

**4. 9:00 AM CASE NUMBER: C23-01403**

**CASE NAME: GUPTA VS. NATIONSTAR MORTGAGE**

**HEARING ON SUMMARY MOTION**

**FILED BY:**

**\*TENTATIVE RULING:\***

Before the Court is Defendant Nationstar Mortgage, LLC ("Defendant" or "Nationstar")'s motion for summary judgment or in the alternative summary adjudication. The Motion relates to Plaintiff Praveen Gupta ("Plaintiff" or "Gupta")'s First Amended Complaint for (1) violation of CCP § 2923.6, (2) violation of CCP § 2923.7, (3) wrongful foreclosure, (4) quiet title (against Gregory Owen), and (5) violation of business and professions code § 17200.

In opposition, Plaintiff withdrew his first and second claim for violations of HBOR. For the following reasons, Defendant's motion with respect to Plaintiff's claims for wrongful foreclosure and violation of Business and Professions Code § 17200 is **granted**.

**Request for Judicial Notice**

Defendant requests Judicial Notice of several County Recorder documents. This Request is unopposed. The Request for Judicial Notice is **granted**. (Evid. Code §§ 452, 453; see also *Linda Vista Village San Diego Homeowner's Association, Inc. v. Tecolote Investors, LLC* (2015) 234 Cal.App.4th 166, 184 ["Judicial notice may be taken of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face."].)

Plaintiff requests Judicial Notice of the Declaration of Praveen Gupta in Support of Ex Parte Application for a Temporary Restraining Order filed on June 26, 2023 in this action. This Request is also unopposed. "A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of